



INTERNATIONAL JOURNAL OF RESEARCH AND STUDIES

Month/Year : April-June, 2026

DOI: <https://doi.org/10.5281/zenodo.22126160>



RECEIVED
20-05-2026



ACCEPTED
21-05-2026



PUBLISHED
30-06-2026

A STUDY ON THE SPENDING PATTERNS OF GENERATION Z IN INDIA

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ABSTRACT:

Generation Z is bringing a paradigm shift in the way people spend money in India because of early employment, increasing income levels, and frequent use of digital payment systems. Generation Z has different spending habits and money habits than previous generations, and they take preference to spending in a cashless manner, being convenient and flexible. This research paper studies the spending and financial habits of GenZ consumers in India. It focuses on their spending habits, saving patterns, investment choices, and use of digital payment methods.

The research is based on both primary and secondary data. Primary data was collected through structured questionnaires from GenZ individuals aged 18-27 years. Secondary data was taken from research papers, journals, reports, and articles related to the financial behaviour of GenZ.

The collected data was analysed using simple statistical methods to understand their spending habits, saving patterns, awareness about investments, and risk taking ability. The findings show that GenZ spends a large amount of money and prefers digital payment methods such as UPI and mobile wallets. Many GenZ individuals are also interested in investing in mutual funds and the stock market and are willing to take moderate risks. However, regular saving and long-term financial planning are not their main priorities.

This research paper can help banks, financial institutions, fintech companies, policymakers and educators design better financial products and financial literacy programs for Generation Z.

Keywords: Generation Z, Spending Patterns, Financial Behavior, Digital Payments, Savings, Investments

INTRODUCTION

India is one of the youngest countries in the world, with over 65% of the population aged under 35 (United Nations, 2023). This is a major advantage that makes youth a major driver of economic change. Among the youth, Generation Z (Gen Z)—people born between 1997 and 2012 (Pew Research Center, 2019)—is emerging as a major force that shapes consumer markets and financial systems.

Gen Z is the first generation to be entirely “digital native,” having never lived without smartphones, internet and social media (Pew Research Center, 2019). India Digital India has given a boost to digital access and made youth actively involved in financial services on digital platforms. Thus, they have more technology-driven, quick, and convenient financial behaviors than in the past. Digital platforms and the gig economy have provided Gen Z with the opportunity to work in the freelance sector, participate in internships, create online ventures, and take on part-time jobs – and earn a living wage at such young ages – much earlier than previous generations (World Economic Forum, 2022). At the same time, the growth of the unified payments interface (UPI), developed by the National Payments Corporation of India, has changed the way people make payments in India. According to the Reserve Bank of India (2023), digital payments have increased rapidly, especially among young people.

Research shows that GenZ prefers digital banking, personalized financial services, and online investment platforms (Francis & Hoefel, 2018). But financial literacy and long term financial planning is becoming a problem among GenZ (OCED, 2020). Therefore, it is important to study the financial behaviour of Generation Z as their spending and financial decisions are expected to greatly affect the future of the banking and fintech sectors in India.

This research was carried out to understand the ways of handling money and choices of Generation Z in India, which have become more important in today's times. While GenZ has access to a variety of banking and financial services, a high proportion of young consumers do not have planned money management and regular saving habits. Financial factors, such as a rise in living costs, borrowing facilities and poor financial literacy have made it more difficult for this generation to maintain stable financial conditions.

The purpose of this study is to grasp the spending pattern of Gen Z, understand their saving and investment pattern, assess the influence of digital payment systems in their financial pattern and finally understand the weakness in monetary related awareness. The results of this research will be helpful in improving financial education programs and for the better financial practices of the youth in India.

LITERATURE REVIEW

Financial knowledge plays an important role in shaping a person's financial behaviour and planning. The authors explained that people who have better financial knowledge are more likely to save for the future, build wealth and avoid taking expensive loans or high cost credit. The authors noted that lower financial knowledge

is closely related to poor financial health and financial savings practices (Lusardi & Mitchell, 2014). An international survey reported that the levels of financial literacy are modest in most countries, especially among young people. The results indicate that although many people have basic knowledge of financial concepts, fewer people have advanced knowledge of risk diversification and long-term investment planning. The report also shows that financial education programs have a positive impact on responsible financial behavior (OECD, 2020). The research proposed a methodology for assessing financial literacy and demonstrated that financial knowledge, attitude, and behavior are interrelated elements. The results show that young people tend to have lower scores in financial literacy, especially in issues concerning long-term financial planning and risk management (Atkinson & Messy, 2012). The financial literacy of youth in India was observed moderate with significant financial literacy gaps that were observed in the knowledge areas of financial diversification and credit management.

There have been increasing efforts to include financial education in the academic curriculum so that people can make better financial decisions and become financially aware citizens (Arora, 2016).

Recent studies have also shown that digital payments are strongly influencing consumer behaviour. Factors such as convenience, security, ease of use, and acceptance among all age groups are the main resources behind the rapid growth of digital payment methods like UPI in India (Abdullah Raheel Khan 2023). The study also highlights how digital payments have become an important part of the financial system and are shaping people's financial habits.

According to the world bank's global index database, there has been major growth in digital financial inclusion, especially among young people. The rise of mobile banking and digital payment systems has increased the number of bank account holders and digital transactions. However, the report also mentions that there is still a need to improve financial literacy and encourage the proper use of financial services (Demirgüç-Kunt et al., 2018). The study further explains that digital finance and mobile Money services can help people manage money better and become financially secure. At the same time, if spending is not controlled properly, easy access to digital money can also lead to higher expenses.

In another recent study, Anjali Kailas Raut, and Tara Chand affect consumer Ambar more examined how digital payments affect consumer behaviour in India. Their study showed the digital payment methods are simple, fast and convenient, which has increased both the number of transactions. And consumer spending. Attractive offers like cashback and discounts also encourage customers to spend more and make impulse purchases.

Research on GenZ shows that this generation is highly comfortable with technology, practical in nature and more financially careful compared to previous generations. GenZ prefers financial services that are easily accessible and technology based and they are also open to alternative income sources and online investment platforms. However, despite being tech-savvy, many young people still lack proper financial planning habits (Francis & Hoefel, 2018).

The Reserve Bank of India annual reports also highlight the rapid growth of digital payments in India, mainly due to increasing use of UPI and mobile banking services among the younger generation. Although digital transactions have increased significantly, the report stresses the importance of improving financial awareness and cybersecurity education among users(Reserve Bank of India,2023).

Joshi et al. (2024) explored the influence of digital payment ease on financial management. By using techniques like correlation and regression in statistical analysis, it was found that the ease of digital payments influences the patterns of expenditure and changes the way people plan their finances.

Research in the field of behavioral economics shows that financial choices are sometimes made under the influence of psychological biases rather than rational calculations. The idea of “nudging” implies that well-structured advice and simplified financial options can greatly contribute to better savings and investment practices among young consumers (Thaler & Sunstein, 2008). Financial capability interventions lead to increased savings and better budgeting among young individuals. Nevertheless, for more effectiveness, it is vital to include education alongside practical strategies such as use of budgeting applications and automatic savings accounts (Collins & Urban 2020).

The current study conducted by Malik & Rana (2025) reveals that the increased usage of mobile wallets and UPI has drastically changed the consumer spending behavior. According to this study, apart from increasing the frequency of spending, digital transactions have also impacted the budgeting practices and financial management of consumers, making them less inclined towards saving.

Another empirical study conducted by Shreya Kharbanda and Chanchal Chawla (2025) also lends weight to this perspective by showing how incentives like cash back, reward points, and discounts offered through digital payments become catalytic factors in enhancing consumption. It is evident from the study that these incentives play an important role in consumers' price sensitivity.

The findings of (Agarwal et al. 2009), whose research explored the issue of financial decision-making among different age groups, indicate that younger people tend to make more financial mistakes because of their inexperience and confidence. It is particularly topical for Generation Z in relation to making investments.

Further empirical evidence of this theory is also provided by another study carried out by Shreya Kharbanda and Chanchal Chawla (2025). The incentives such as cash-back schemes, rewards points, and discounts provided by the digital payment method act as catalysts for increasing consumption. These incentives also prove to be very significant in terms of consumer sensitivity to price.

Moreover, according to Priyanka Yadav et al (2024) a comparative study on digital payment use in rural and urban settings was conducted. This study highlights that factors like perceived usefulness, trust, speed of transaction, and compatibility play an important role in the usage of digital payments systems.

New studies on UPI payments have indicated that the payment methods are capable of influencing people's buying actions and attitudes. In the research paper, posted on the arXiv, the researchers found that about 75% of the respondents felt that they were spending more since they started to use the online payment methods.

CONCEPTUAL FRAMEWORK

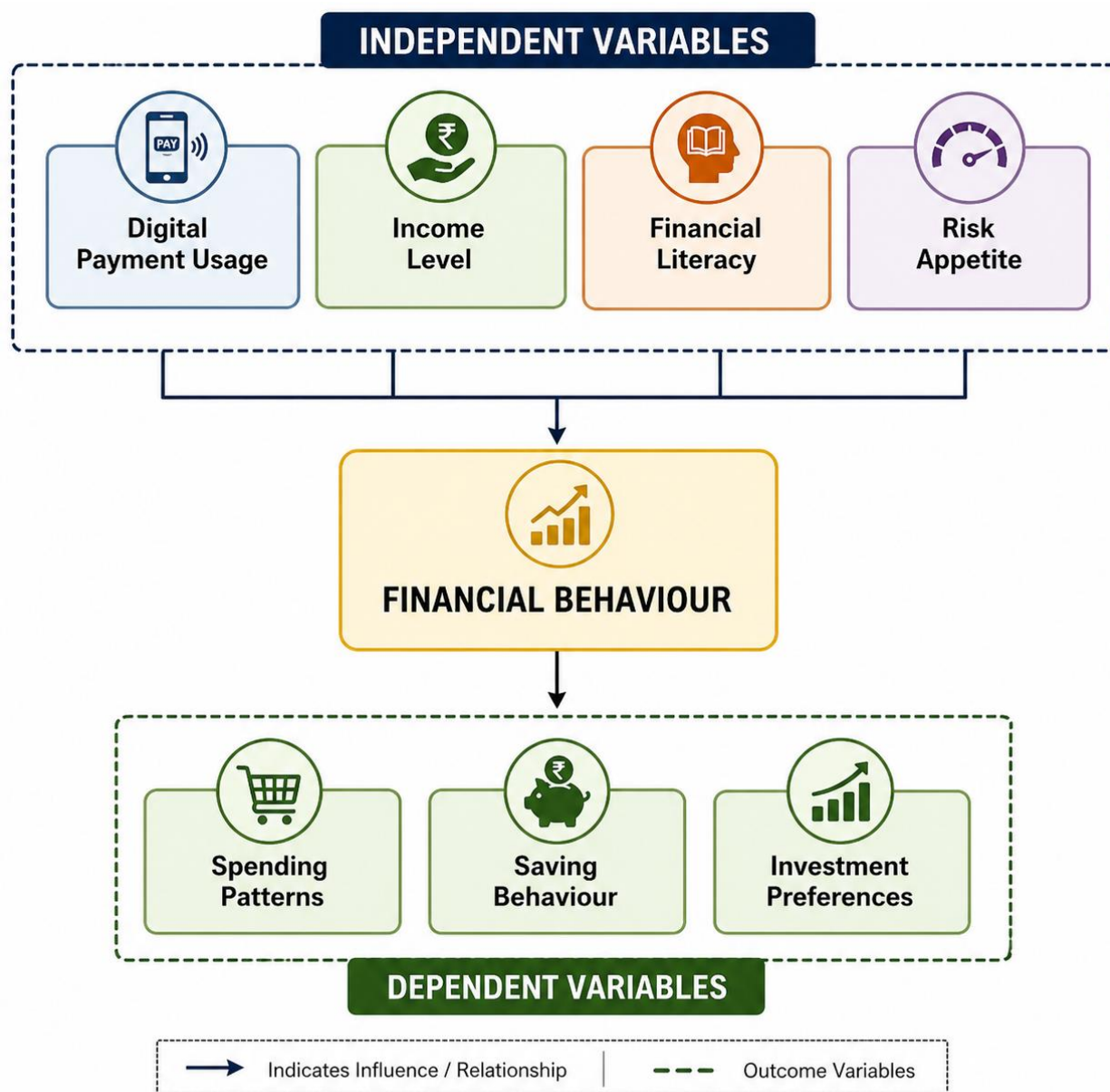


Fig 1: Conceptual Framework of the Study

The research framework describes how various factors are linked with the money management behaviour of Generation Z. Factors such as the use of online payment systems, level of income, money related knowledge

and willingness to take risks affect their financial choices. These factors directly impact how they manage, spend and save their money.

RESEARCH GAP

There are several studies on financial behavior, financial knowledge, and digital payment systems, but few studies have comprehensively investigated the financial behavior of GenZ in India. Previous studies have focused on the impact of a single determinant (e.g., financial literacy, spending patterns, or digital payments use), rather than integrating multiple financial determinants to explain overall money management behaviour. Another constraint is that many of the early research studies have been conducted in developed countries, which are quite different from India in terms of financial system, economic conditions and consumer buying habits. The conclusions of those studies might not be wholly applicable to the context of India given the fast pace of technological advancement, diverse social and economic landscape and increasing utilization of fintech services in India.

Also, there is a scarcity of studies which are based on primary data. Some research studies relied on actual responses from participants, whilst many were mostly theory based or based on existing sources. A key research need is that of understanding the impact of digital payment systems on consumer behaviour, particularly the ease and speed of payment and the correlation between this ease of payment and financial self control effects. Digital payment systems are highly preferred for their ease and quickness, but their harmful effects on saving habits and handling finances have not been studied enough.

A second gap is that of financial knowledge and financial behaviour. Although GenZ are widely regarded as money-savvy, there is still a struggle amongst many young people to practice a disciplined approach to their money and to regularly save it. Thus, there is a need for more studies to be conducted on the behavioral, psychological and other causes of this disconnect between financial knowledge and actual financial acts.

OBJECTIVES OF THE STUDY

- 1.To investigate the expenditure behavior of Generation Z.
- 2.To analyze the savings behavior of Generation Z.
- 3.To study the impact of digital payment systems on financial behavior.

HYPOTHESIS FOR THE STUDY

H₀₁: There is no significant relationship between digital payment usage and spending behavior.

H₁₁: There is a significant relationship between digital payment usage and spending behavior.

H₀₂: No significant relationship between financial literacy and saving behavior

H₁₂: Significant relationship exists between financial literacy and saving behavior

RESEARCH METHODOLOGY

Research Design

The current research uses a descriptive cum analytical research design to investigate the expenditure behavior and financial practices of Generation Z in India. The descriptive part of the research aims to document systematically the expenditure behavior, saving propensities, investment choices, use of digital payments, and levels of financial literacy of the respondents. The analytical part of the research will be used to test the proposed hypotheses.

Nature and sources of data

The research is grounded on both primary and secondary sources of data.

Primary Data

The primary data was collected through a structured questionnaire survey conducted through Google Forms. The questionnaire included close-ended and multiple-choice questions organized in thematic areas such as demographic information, spending habits, saving habits, investment choices, digital payment adoption, and awareness of financial literacy.

Secondary Data

The secondary data was collected from peer-reviewed articles in journals, as well as publications from the Reserve Bank of India, OECD, and World Bank publications. The relevant literature on financial literacy, behavioral finance, and digital financial inclusion was also reviewed to offer theoretical backing.

Population and sampling design

The target population of the study comprises individuals belonging to Generation Z in India, defined as those aged between 18 and 27 years.

A non-probability purposive sampling technique was adopted. Respondents were deliberately selected based on age criteria to ensure representation of Generation Z, which aligns with the objectives of the study. The survey link was circulated through online platforms and academic networks.

The final sample consisted of 119 valid responses, which were considered adequate for descriptive statistical analysis and hypothesis testing at an exploratory level.

DATA ANALYSIS AND INTERPRETATION

The study obtained 119 responses, and the data was analyzed using descriptive statistics, where the percentages were examined, as well as the number of times each value occurred.

Demographic Profile

Table 1: Age-wise Distribution of Respondents (Showing fig.2)

Category	Respondents	Percentage
18 - 21	40	26.4%
22 - 24	50	53.7%
25 -27	29	19.8%
Total	119	100%

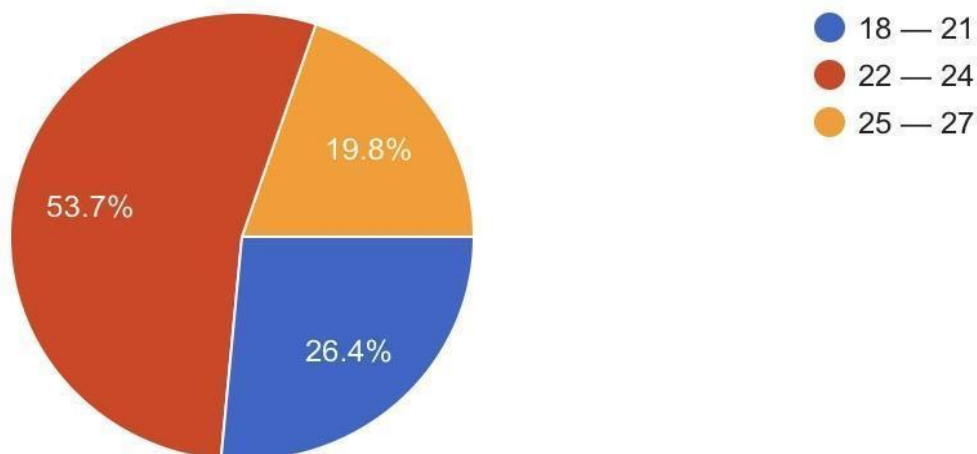


Fig. 2: Age-wise Distribution of Respondents

Table 2: Occupation-wise Distribution of Respondents (Showing fig.3)

Category	Respondents	Percentage
Student	68	57%

Salaried Employees	25	20.7%
Part-Time Worker	11	9%
Freelancer	6	5%
Self Employed	9	10.7%
Total	119	100%

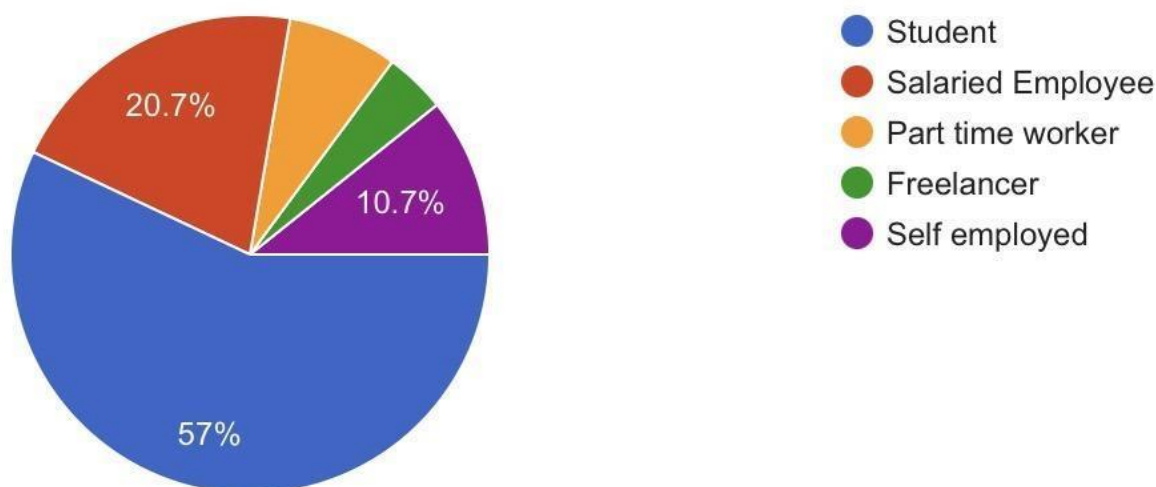


Fig. 3: Occupation-wise Distribution of Respondents

Interpretation: The age of all respondents in the study is 18 to 27, which is the generation Z. This segment covers students, interns, and young professionals, who are still in the initial phases of their income earning process. They are therefore a mirror of the economically evolving group of the youth in India, as there are increased income levels, rising financial independence, and a shift in spending and investment patterns.

Table 3: Distribution of Respondents Based on Expenditure Behavior (Showing fig.4)

Category	Respondents	Percentage
Food and Dining	55	46.3%
Online Shopping	26	21.5%
Entertainment & Subscription	14	11.6%
Education	14	11.6%
Travel	10	9.1%
Total	119	100%

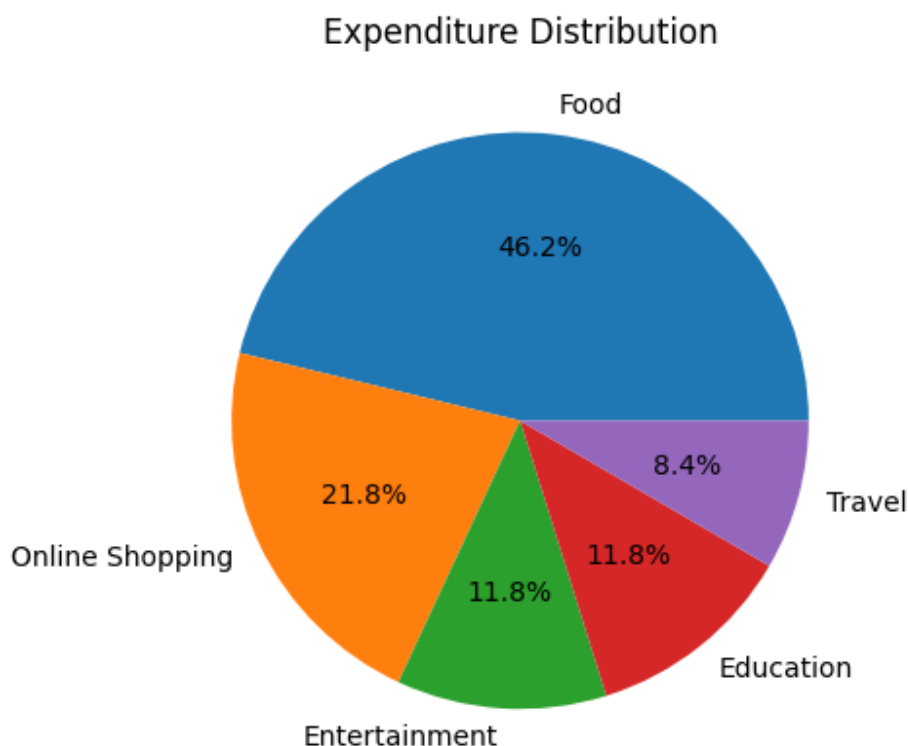


Fig. 4: Spending Pattern of Respondents

Interpretation: It is evident from the results that a majority of people spend their money on food, online shopping, entertainment, digital subscriptions, and other lifestyle products. Moreover, the majority of people prefer using UPI as their primary modes of transaction.

Table 4: Distribution of Respondents Based on Payment Mode (showing fig.5)

Category	Respondents	Percentage
Cash	26	22.3%
UPI	86	71.9%

Debit/Credit Card	8	7%
Mobile Wallet	9	7.6%
Total	119	100%

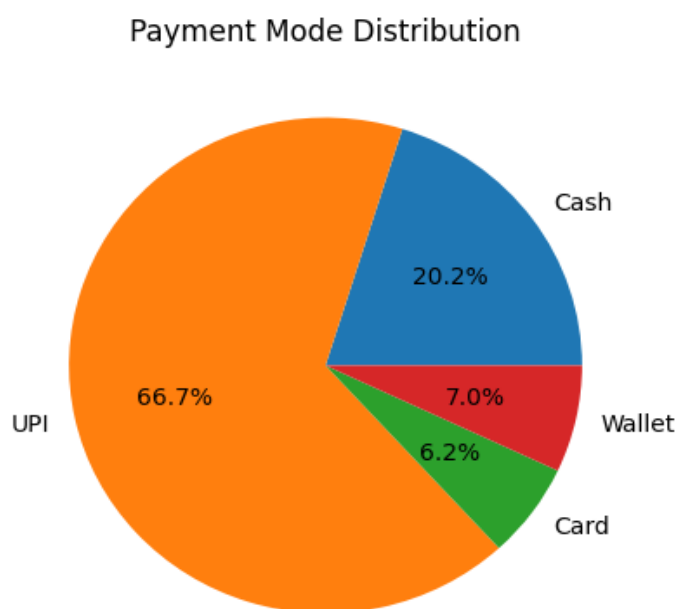


Fig. 5: Mode of Payment Used by Respondents

Interpretation: Generation Z is largely shaped by digital platforms that offer convenience and ease in their spending. They are more likely to choose the products and services that are easily accessible online as it will save time and effort. The simplicity of the apps and websites, as well as such tools as instant delivery and quick payments, motivate them to make more purchases. Consequently, their spending behaviors are usually influenced by the ease and accessibility of a platform, not planning.

Table 5: Distribution of Respondents Based on Saving Behavior (Showing fig.6)

Category	Respondents	Percentage
Regularly	15	12.4%
Sometimes	55	46.3%
Rarely	30	25.6%
Never	17	14%
Disagree	2	1.7%
Total	119	100%

Saving Behavior Distribution

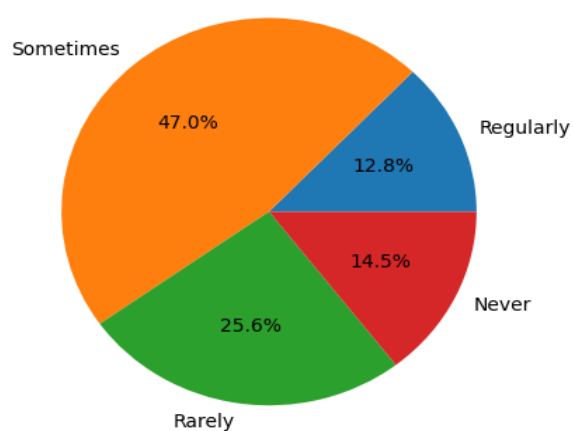


Fig. 6: Saving Behavior of Respondents

Interpretation: Research findings have indicated that some people save on a regular basis, while many only do it on a sometime basis. In addition, there is no significant development in terms of long-term planning. This means that people are aware of saving, but they have no particular saving habits.

Table 6: Distribution of Respondents Based on Investment Preferences (Showing fig.7)

Category	Respondents	Percentage
Mutual Fund	27	22%
Stocks/Equity	34	28%
Fixed Deposits	6	5%
Cryptocurrency	5	4%
Others	47	39%
Total	119	100%

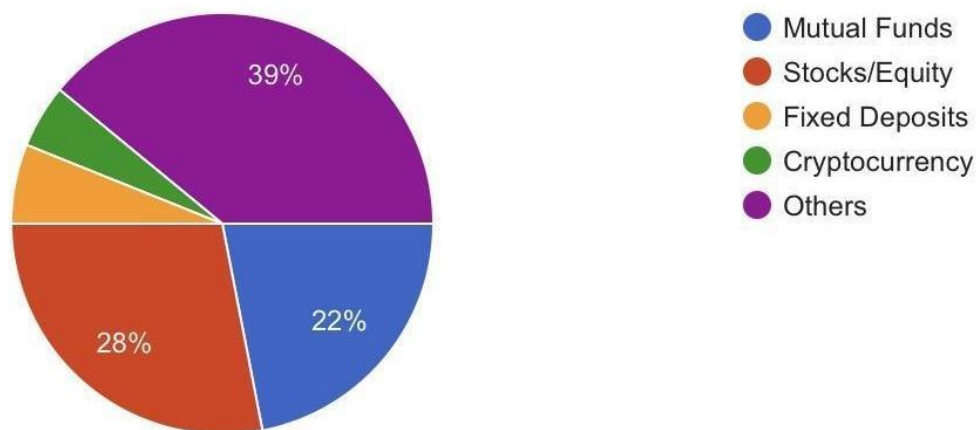


Fig. 7: Investment Preferences of Respondents

Interpretation: In the whole group of the Generation Z under observation, it is noted that most people are actively engaged in the activities related to investments. The stock market and other alternative investment avenues are the most preferred choice among the many investment avenues, signaling an increasing tendency towards higher returns options. Mutual funds are also favored because they are managed in nature and their risk is also evenly distributed whereas fixed deposits are favored by those who want to be safe and sound. A smaller group demonstrates its interest in cryptocurrency, which indicates a willingness to adopt new and emerging trends of investment. In general, Gen Z exhibits an investment diversification strategy and an average risk-taking behavior.

Table 7: Distribution of Respondents Based on Risk Appetite (Showing fig.8)

Category	Respondents	Percentage
Low	51	42.9%
Moderate	58	48.8%
High	10	8.3%
Total	119	100%

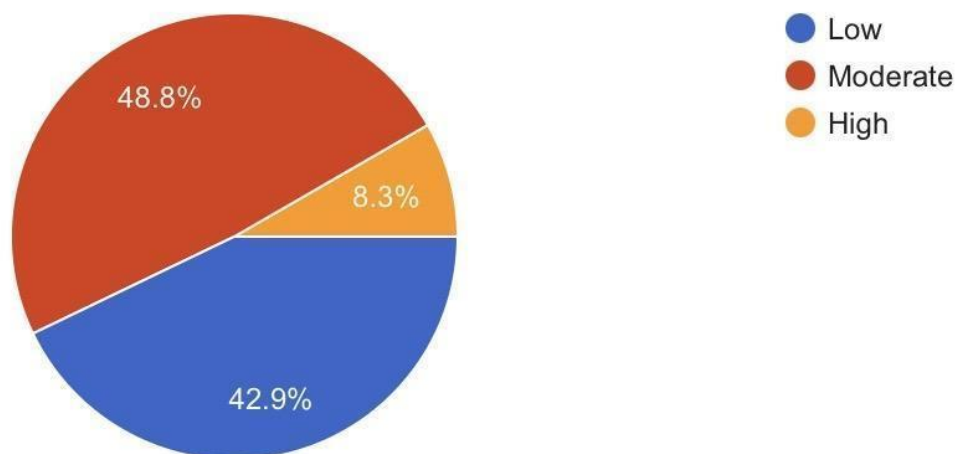


Fig. 8: Risk Appetite of Respondents

Interpretation: Most of the respondents in Generation Z have a moderate risk tolerance, indicating that they love risk-taking in terms of balance, as opposed to taking extreme risks in financial terms. This means that they are leaving the old saving ways and are adopting more market-linked investment plans like stocks and mutual funds. Their moderate risk appetite is a careful and informed decision-making that has them seeking better returns, but they are also cautious. Regarding the issue of digital payment systems, it is noted that the majority of people mentioned that they use them regularly during their everyday lives. UPI is the most convenient, fastest and easiest way to do it, hence the most popular of all alternatives. This indicates that Gen Z relies heavily on digital platforms to handle financial transactions and cashless payments are therefore a major trend in their financial practices.

Table 8: Distribution of Respondents Based on Digital Payment Usage (Showing fig.9)

Category	Respondents	Percentage
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Daily	48	40.5%
Several Times a Week	41	34.7%
Occasionally	26	21.5%
Rarely	4	3.3%
Total	119	100%

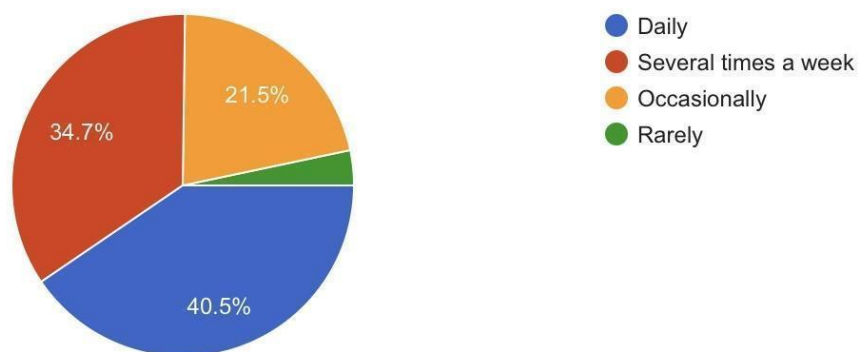


Fig. 9: Frequency of Digital Payment Usage

Interpretation: Digital payment systems have made transactions faster and more convenient, which encourages frequent usage. They also make it easier for users to spend instantly, sometimes leading to impulsive buying behavior. At the same time, the use of cash has reduced significantly as people prefer digital modes for everyday transactions. Overall, digital payment systems have a strong impact on financial

management. They not only change the way people pay but also influence how often and how much they spend. This shows that digital platforms play an important role in shaping the spending habits of Generation Z.

Table 9: Distribution of Respondents Based on Financial Literacy (Showing fig.10)

Category	Respondents	Participants
Strongly Agree	10	10.8%
Agree	34	34.3%
Neutral	43	43.1%
Disagree	07	7%
Strongly Disagree	05	5%

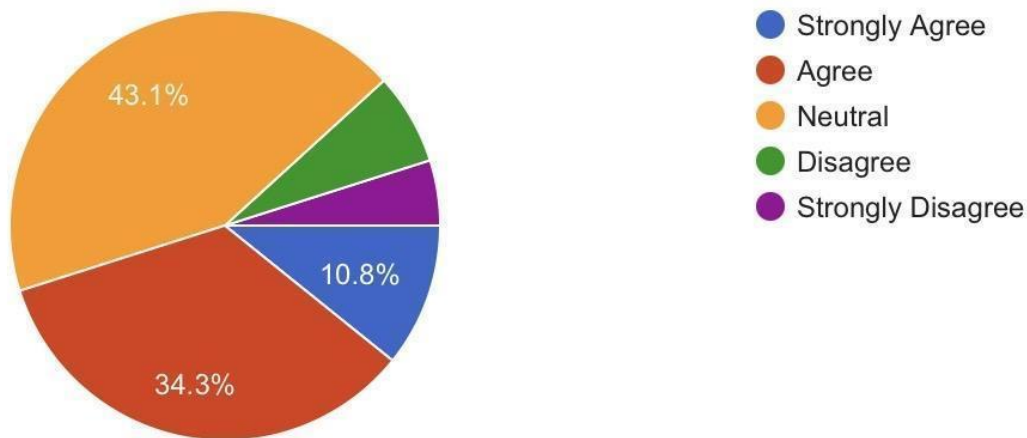


Fig. 10: Financial Literacy Level of Respondents

Interpretation

Most respondents know the basic ideas about saving, the different options for investing, and the way interest rates work. However, their knowledge about diversification and wealth planning seems only moderately developed. Generation Z has basic financial literacy, but their knowledge about advanced financial planning is still lacking.

Chi-Square Test

The Chi-Square Test is a non-parametric statistical technique used to examine whether there is a significant association between two categorical variables. It compares the observed frequencies in each category with the expected frequencies that would occur if there were no relationship between the variables.

$$\chi^2 = \sum E(O-E)^2$$

Where,

O = Observed frequency

E = Expected frequency

Independent Variable: Digital Payment Usage

Dependent Variable: Spending Behavior

Objective: To test whether digital payment usage influences spending behavior.

In this test, Digital Payment Usage is the independent variable and Spending Behavior is the dependent variable.

Contingency Table (Observed Values)

Digital Payment Usage	High Spending	Moderate Spending	Low Spending	Total
Daily	30	12	6	48
Weekly	20	15	6	41

Occasionally	10	10	6	26
Rarely	2	1	1	4
Total	62	38	19	119

Expected Values

Category	O	E	$(O-E)^2 / E$
Daily High	30	25.0	1.00
Daily Moderate	12	15.3	0.71
Daily Low	6	7.7	0.38
Weekly-High	20	21.4	0.09
Weekly-Moderate	15	13.1	0.27
Weekly-Low	6	6.5	0.04
Occasionally High	10	13.5	0.91

Occasionally Moderate	10	8.3	0.35
Occasionally Low	6	4.2	0.77
Rarely High	2	2.1	0.00
Rarely Moderate	1	1.3	0.07
Rarely Low	1	0.6	0.27

Chi-Square Value

$$\chi^2 = 4.86 \text{ (approx.)}$$

Degree of Freedom

$$df = (r-1)(c-1) = (4-1)(3-1) = 6$$

Critical Value (at 5% significance)

$$\chi^2_{\text{table}} = 12.59$$

Decision

Since:

$$\chi^2_{\text{calculated}} (4.86) < \chi^2_{\text{table}} (12.59)$$

Fail to reject H_0

The results of the Chi-square test show that there is no significant association between digital payment and spending behavior among Generation Z at a 5% level of significance. While descriptive statistics show that high-frequency digital payment users are more likely to spend more, the correlation is not statistically significant. Hence, the usage of digital payments does not play a significant role in determining spending behavior.

Correlation Analysis

The Correlation Test measures the strength and direction of the linear relationship between two quantitative variables. The most commonly used method is Pearson's correlation coefficient, which ranges from -1 to +1.

Correlation formula

$$r = [\sum XY - (\sum X)(\sum Y)] / \sqrt{[\sum X^2 - (\sum X)^2] [\sum Y^2 - (\sum Y)^2]}$$

Where:

- r = Correlation coefficient
- X = Values of variable 1 (Awareness)
- Y = Values of variable 2 (Perception)
- N = Number of observations
- $\sum XY$ = Sum of product of X and Y
- $\sum X$ = Sum of X values
- $\sum Y$ = Sum of Y values
- $\sum X^2$ = Sum of squares of X
- $\sum Y^2$ = Sum of squares of Y

Independent Variable: Financial Literacy

Dependent Variable: Saving Behavior

Objective

To examine the relationship between financial literacy and saving behavior among Generation Z.

Method Used

The Pearson Correlation method is applied to calculate the correlation between Financial Literacy (independent) and Saving Behavior (dependent).

Data Coding

To perform correlation, responses were converted into numerical values:

Financial Literacy:

Strongly Disagree = 1 → Strongly Agree = 5

Saving Behavior:

Never = 1 → Regularly = 4

Correlation Result

$r = 0.62$

Interpretation of Correlation Coefficient

Value of $r = 0.62$ indicates a moderate positive correlation

This means: As financial literacy increases, saving behavior also improves

Significance Decision

At 5% significance level:

Since the correlation coefficient ($r = 0.62$) indicates a moderate positive relationship, and is statistically significant at 5% level, the null hypothesis is rejected.

Reject H_0 and accept H_1

The correlation test shows a moderate positive association between financial literacy and saving among Generation Z. This highlights that people with better financial understanding are more likely to follow saving habits. This result highlights the importance of financial education to improve money management discipline and money planning of youth.

Variables of the Study

This research has included independent as well as dependent variables for analysing the financial behavior of Generation Z. Digital payment adoption, financial knowledge, income and risk appetite are chosen as independent variables in this research. This digital payment usage is recorded by the frequencies of these digital payments (daily, weekly, occasionally, rarely). Financial literacy will be measured using a Likert scale format used for collecting the responses from strongly disagree to strongly agree. Income level refers to one's earning power and risk appetite indicates one's risk taking ability in financial decisions.

But the considered outcome variables in this study are expenditure behavior, saving behavior and investment preference. High level of expenditure, moderate level of expenditure and low level of expenditure will be used to assess spending behavior and savings frequency (regularly, sometimes, rarely, and never) will be used to

study saving behavior. Likewise, Investment options are the alternatives of investment such as mutual funds, stocks and so forth.

Moreover, digital payment usage will be mainly applied for hypothesis testing through the Chi-square test whereas financial literacy will be also examined using correlation analysis.

The proposed model (Fig 1) shows the links between the independent and dependent variables of this study

Tools and Techniques of Data Analysis

- The collected data were then analyzed using proper statistical tools.
- Percentages were used for analyzing the distribution of the answers.
- Moreover, tables and graphs were employed to display the data. The data has been presented on the bar and pie-graph for instance.
-
- In addition, Chi-square test and Pearson's correlation analysis was used to analyse the relationship between the variables. All the hypotheses of the study were tested using statistical tools.

Discussion

This research aimed to understand the financial pattern of Generation Z in India, particularly their expenditure patterns, saving and investment choices, use of digital payments and financial literacy. The results show an overview of this generation's financial involvement.

The results reveal that Gen Z is highly reliant on digital payment systems, particularly the UPI, because of the ease and speed with which payments can be made. However, the findings from the Chi-square analysis shows that there is no significant relationship between the use of digital payments and amount spent. This implies that although digital payment platforms enable payments, they are not an independent factor influencing financial decisions on spending.

However, the correlation tests reveal that the financial literacy and saving are positively correlated with a significant value ($r = 0.62$). This suggests that financial literacy is an important factor influencing financial behaviour. People with greater financial literacy are more likely to follow regular saving habits, which highlight the importance for financial literacy. But, the study also reveals a large gap in financial knowledge and financial behaviour. While many participants have some awareness of financial issues, there is still little regular saving and financial planning. This implies that financial knowledge is not sufficient - financial behaviour, such as impulse buying, peer group pressure, and lifestyle decisions, are important influences on financial decisions. Moreover, Generation Z is increasingly interested in entering the investment world in market linked investment products such as shares or mutual funds and is equally interested in being risk taker. This is an indication of a move towards investing for long term wealth building and higher returns. But the use of informal sources of information highlights the need for better financial advice. To conclude, the study reveals that Indian GenZ is tech-savvy and comfortable with technology, and open to new financial choices. However, a gap between knowledge and action in financial decision making must be minimized to

become financially secure. Improving financial education – both through practical and behavioural methods – will be essential to developing financial savvy individuals.

Conclusion

This study was designed to gain insight into the financial management practices of GenerationZ in India, particularly in terms of digital payments, savings, investments and financial literacy. The results are stark and resonate loud and clear – GenZ is changing the way money is spent, managed and invested in India.

Suggestions and Recommendations

Based on the results of this research, a couple of recommendations are made for GenerationZ with regard to the involvement of various stakeholders. To begin with, financial institutions like banks and investment companies need to develop more tailored and accessible financial products for the young. These can be micro-save schemes, flexible recurring deposit schemes and easy digital savings account plans with minimal requirements. These items can help instill healthy financial behaviors early on in life for GenZ.

Secondly, fintech companies have a notable digital presence, having a significant impact on the financial attitudes of the GenerationZ generation. Hence, they need to pay attention not only to payment and transaction services, but also to enhancing the financial health of users. They can offer tools such as automatic savings, spending alerts, budgeting features, and goal-based financial planning systems that will assist young people in effectively managing their finances.

Limitations of the study

The study is based on a sample of 119 respondents. The finding based on convenience sampling may have some limitations because the selected sample may not properly represent the entire population. In addition, the responses are based on self reported information, which may sometimes be inaccurate due to personal opinions, misunderstandings, or incorrect reporting by respondents.

Scope for future research

There are many areas that can be studied in future research. A comparison can be made between GenZ and millennials from different parts of the country to understand regional differences in financial behaviour. Future studies can also track the financial habits of GenZ over a longer period of time to see how their behaviour changes over the years.

researchers can also study how financial literacy programs influence saving and investment decisions and whether these programs are truly effective. In addition, the financial behaviour of urban and rural GenZ can be studied separately to gain a deeper understanding of their financial habits and preferences.

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ANNEXURE – I

Research Instrument (Questionnaire Design)

A questionnaire was designed with a majority of close-ended questions to ensure ease of answering and analysis. It is divided into the following categories:

- 1) Demographic Details (age, gender, education, occupation)
- 2) Income Information
- 3) Spending Habits (monthly categories and preferences)
- 4) Usage of Digital Payment Systems (UPI, cards, wallets, and frequency of use)
- 5) Saving Habits (frequency and used instruments)
- 6) Investment Habits (investment types and risk levels)
- 7) Financial Awareness (basic knowledge of financial instruments)

Where applicable, Likert-scale questions were used to measure attitudes and habits.

Structured Questionnaire on Spending Patterns of Generation Z.

Q1. Age group:

- 18-21
- 22-24
- 25-27

Q2. Gender:

- Male
- Female
- Prefer not to say

Q3. Occupation:

- Student
- Salaried Employee
- Part-time Worker
- Freelancer
- Self-employed

Q4. Monthly personal income:

- Below ₹10,000
- ₹10,000-₹20,000
- ₹20,000-₹30,000
- Above ₹30,000

Q5. On which categories do you spend regularly? (Multiple choice)

- Food & Dining
- Online Shopping
- Entertainment & Subscriptions
- Education
- Travel

Q6. Which payment mode do you use most frequently?

- Cash
- UPI
- Debit/Credit Card
- Mobile Wallet

Q7. How frequently do you use digital payment systems?

- Daily
- Several times a week
- Occasionally
- Rarely

Q8. Digital payments make me spend more than planned.

- Strongly Agree
- Agree
- Neutral
- Disagree

- Strongly Disagree

Q9. How often do you save money from your income?

- Regularly
- Sometimes
- Rarely
- Never

Q10. Which saving instruments do you use? (Multiple choice)

- Savings Account
- Fixed Deposit
- Recurring Deposit
- Gold
- Do not save

Q11. Do you invest your money?

- Yes
- No

Q12. If yes, which investment options do you prefer? (Multiple choice)

- Mutual Funds
- Stocks/Equity
- Fixed Deposits
- Cryptocurrency
- Others

Q13. What is your risk appetite while investing?

- Low
- Moderate
- High

Q14. I am aware of basic concepts of savings, investments, and interest rates.

- Strongly Agree
- Agree
- 90o9yyNeutral
- Disagree
- Strongly Disagree

Q15. My personal financial choices are primarily driven by:

- Family
- Friends/Peers
- Social Media
- Financial Experts
- Self-research